Virginia Historic Rehabilitation Tax Credit Purchase Agreement

Dated September 10, 2024

This Agreement is made between Calder Works Owner LLC (Seller) and Blue Heron Tax Partners LLC (Buyer) with respect to Virginia historic rehabilitation tax credits expected to be issued for the rehabilitation of the Buildings.

Article 2

Section 2.1 Delivery Mechanics. Credits shall be transferred to Buyer in one or more Closings, each occurring within thirty (30) days after Seller's receipt of Final Certification from the Virginia Department of Historic Resources with respect to a Building, by Seller's execution and filing of the transfer forms required by the Virginia Department of Taxation together with such other instruments as Buyer may reasonably require.

Section 2.2 Reserves. The Company shall establish and maintain an operating reserve and a replacement reserve in the amounts required by the Lender and the Investor Member. Withdrawals from the operating reserve shall be made only to fund operating deficits, and withdrawals from the replacement reserve shall be made only for capital repairs and replacements approved in the annual budget or otherwise approved by the Investor Member.

Section 2.3 Shortfall. If the Credits finally certified with respect to the Buildings are less than the Estimated Credits, the Purchase Price shall be reduced accordingly and Seller shall refund to Buyer any portion of the Deposit attributable to the shortfall; provided that Buyer shall have no obligation to purchase any Credits in excess of the Estimated Credits.

Section 2.4 Entire Agreement. This Agreement, together with the Exhibits and Schedules attached hereto, constitutes the entire agreement among the parties with respect to its subject matter and supersedes all prior and contemporaneous agreements, term sheets, letters of intent, presentations and understandings, whether written or oral. No statement in any offering material, investor presentation or summary shall modify the terms hereof unless expressly incorporated by written amendment.

Article 1 - Definitions

Section 1.4 'Estimated Credits' means the Virginia credits Seller expects to receive for the Project, determined as twenty-five percent (25%) of the Eligible Rehabilitation Expenses set forth in Appendix 2, which the parties acknowledge to be Nine Million Nine Hundred Fifty Thousand Dollars ($9,950,000).

Section 1.5 'Final Certification' means, for each Building, the final certification of rehabilitation issued by the Virginia Department of Historic Resources following approval of the completed work.

Section 2.5 Recapture Indemnity. If any Credits transferred to Buyer are disallowed, reduced or recaptured as a result of any act or omission of Seller, Seller shall pay to Buyer, within thirty (30) days after demand, the amount of such Credits so disallowed, reduced or recaptured, together with any interest and penalties assessed against Buyer in connection therewith.

Section 2.6 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Section 2.7 Deposit. Within ten (10) Business Days after the Effective Date, Buyer shall deposit with the Escrow Agent an amount equal to ten percent (10%) of the Purchase Price for the Estimated Credits, which Deposit shall be applied to the Purchase Price at the first Closing or returned to Buyer in the circumstances described in Section 5.2.

Section 2.8 Retainage. The Lender shall retain ten percent of each advance for hard costs until the Project is fifty percent complete, as certified by the Lender's inspecting engineer, and five percent thereafter. Retainage shall be released upon substantial completion of the applicable Building, receipt of a certificate of occupancy and final lien waivers, and satisfaction of all punch list items.

Article 2 - Price

Section 2.1 Purchase Price. For each dollar of Credits transferred at a Closing, Buyer shall pay eighty cents ($0.80), without adjustment for any change in market conditions after the date hereof.

Section 2.9 Seller Representations. Seller represents that the Buildings are certified historic structures, that the Rehabilitation has been and will be carried out in accordance with the Approved Part 2 Application and its conditions, and that Seller has not sold, assigned or pledged any portion of the Credits to any other person.

Section 2.10 Force Majeure. Neither party shall be liable for any delay or failure in performance (other than the payment of money) caused by events beyond its reasonable control, including acts of God, fire, flood, epidemic, war, terrorism, labor disputes not involving the affected party's employees, governmental action or unavailability of materials, provided that the affected party gives prompt notice and uses commercially reasonable efforts to resume performance.

Section 2.11 Delivery Mechanics. Credits shall be transferred to Buyer in one or more Closings, each occurring within thirty (30) days after Seller's receipt of Final Certification from the Virginia Department of Historic Resources with respect to a Building, by Seller's execution and filing of the transfer forms required by the Virginia Department of Taxation together with such other instruments as Buyer may reasonably require.

Section 2.12 Severability. If any term or provision of this Agreement, or the application thereof to any person or circumstance, shall to any extent be held invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforced to the fullest extent permitted by law.

Article 3

Section 3.1 Shortfall. If the Credits finally certified with respect to the Buildings are less than the Estimated Credits, the Purchase Price shall be reduced accordingly and Seller shall refund to Buyer any portion of the Deposit attributable to the shortfall; provided that Buyer shall have no obligation to purchase any Credits in excess of the Estimated Credits.

Section 3.2 Indemnification. Calder Works Owner LLC shall indemnify, defend and hold harmless the Buyer and its members, managers, officers, employees and agents from and against any and all losses, liabilities, damages, costs and expenses, including reasonable attorneys' fees, arising out of (a) any breach of any representation, warranty or covenant of Calder Works Owner LLC contained herein, (b) the gross negligence or willful misconduct of Calder Works Owner LLC, or (c) any claim by a third party relating to the condition of the Property prior to the Effective Date.

Section 3.3 Recapture Indemnity. If any Credits transferred to Buyer are disallowed, reduced or recaptured as a result of any act or omission of Seller, Seller shall pay to Buyer, within thirty (30) days after demand, the amount of such Credits so disallowed, reduced or recaptured, together with any interest and penalties assessed against Buyer in connection therewith.

Section 3.4 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be reviewed by the Owner's historic consultant and, where required by the conditions of the Part 2 approval, submitted to the State Historic Preservation Office for review by the National Park Service.

Section 3.5 Deposit. Within ten (10) Business Days after the Effective Date, Buyer shall deposit with the Escrow Agent an amount equal to ten percent (10%) of the Purchase Price for the Estimated Credits, which Deposit shall be applied to the Purchase Price at the first Closing or returned to Buyer in the circumstances described in Section 5.2.

Section 3.6 Warranty of Work. The Contractor warrants that all materials and equipment furnished under this Agreement will be new unless otherwise specified, of good quality and free from defects, and that the Work will conform to the Contract Documents. The Contractor shall correct any Work found to be defective within one year after substantial completion of the applicable Building.

Section 3.7 Seller Representations. Seller represents that the Buildings are certified historic structures, that the Rehabilitation has been and will be carried out in accordance with the Approved Part 2 Application and its conditions, and that Seller has not sold, assigned or pledged any portion of the Credits to any other person.

Section 3.8 Books and Records. Calder Works Owner LLC shall keep complete and accurate books of account and records with respect to the Property and the transactions contemplated hereby, in accordance with generally accepted accounting principles consistently applied, and shall make such books and records available to the Buyer and its representatives for inspection and copying at reasonable times upon not less than five business days' prior notice.

Section 3.9 Delivery Mechanics. Credits shall be transferred to Buyer in one or more Closings, each occurring within thirty (30) days after Seller's receipt of Final Certification from the Virginia Department of Historic Resources with respect to a Building, by Seller's execution and filing of the transfer forms required by the Virginia Department of Taxation together with such other instruments as Buyer may reasonably require.

Section 3.10 Management Standards. The Manager shall operate the Property in a manner consistent with first-class residential properties of similar age and type in the Lynchburg metropolitan area, shall use diligent efforts to lease units at market rents, shall collect rents and other income, and shall cause all repairs and maintenance to be performed in a good and workmanlike manner in accordance with the approved budget.

Section 3.11 Shortfall. If the Credits finally certified with respect to the Buildings are less than the Estimated Credits, the Purchase Price shall be reduced accordingly and Seller shall refund to Buyer any portion of the Deposit attributable to the shortfall; provided that Buyer shall have no obligation to purchase any Credits in excess of the Estimated Credits.

Section 3.12 No Third-Party Beneficiaries. Nothing in this Agreement, express or implied, is intended to or shall confer upon any person other than the parties and their respective successors and permitted assigns any legal or equitable right, benefit or remedy of any nature whatsoever under or by reason of this Agreement, except as expressly provided with respect to indemnified persons.

Article 4

Section 4.1 Recapture Indemnity. If any Credits transferred to Buyer are disallowed, reduced or recaptured as a result of any act or omission of Seller, Seller shall pay to Buyer, within thirty (30) days after demand, the amount of such Credits so disallowed, reduced or recaptured, together with any interest and penalties assessed against Buyer in connection therewith.

Section 4.2 Dissolution. The Company shall dissolve and its affairs shall be wound up upon the first to occur of (a) the sale or other disposition of all or substantially all of its assets, (b) the written consent of all Members, or (c) the entry of a decree of judicial dissolution. Upon dissolution, the assets of the Company shall be applied in the order of priority set forth in Section 10.3.

Section 4.3 Deposit. Within ten (10) Business Days after the Effective Date, Buyer shall deposit with the Escrow Agent an amount equal to ten percent (10%) of the Purchase Price for the Estimated Credits, which Deposit shall be applied to the Purchase Price at the first Closing or returned to Buyer in the circumstances described in Section 5.2.

Section 4.4 Events of Default. Each of the following shall constitute an Event of Default: (a) failure to pay any amount when due and continuance of such failure for ten days; (b) any representation proving untrue in any material respect when made; (c) failure to perform any other covenant within thirty days after notice; (d) the filing of any lien against the Property not bonded or discharged within thirty days; or (e) any material adverse change in the condition of the Property or the Borrower.

Section 4.5 Seller Representations. Seller represents that the Buildings are certified historic structures, that the Rehabilitation has been and will be carried out in accordance with the Approved Part 2 Application and its conditions, and that Seller has not sold, assigned or pledged any portion of the Credits to any other person.

Section 4.6 Governing Law. This Agreement and all claims arising out of or relating to it shall be governed by the laws of the Commonwealth of Virginia, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. Each party irrevocably submits to the jurisdiction of the state and federal courts sitting in the City of Richmond for the resolution of any dispute hereunder and waives any objection to venue in such courts.

Section 4.7 Delivery Mechanics. Credits shall be transferred to Buyer in one or more Closings, each occurring within thirty (30) days after Seller's receipt of Final Certification from the Virginia Department of Historic Resources with respect to a Building, by Seller's execution and filing of the transfer forms required by the Virginia Department of Taxation together with such other instruments as Buyer may reasonably require.

Section 4.8 Estoppel Certificates. Within ten business days after request by the Buyer, Calder Works Owner LLC shall deliver a certificate stating whether this Agreement is in full force and effect, whether it has been modified (and identifying any modification), the dates through which amounts payable hereunder have been paid, and whether, to the knowledge of the certifying party, any default exists. Any such certificate may be relied upon by any prospective lender, investor or purchaser.

Article 5 - Conditions and Outside Date

Section 5.2 If Final Certification has not been obtained for each of the Buildings on or before June 30, 2026 (the 'Outside Date'), Buyer may terminate this Agreement by written notice, whereupon the Deposit shall be returned to Buyer and neither party shall have further obligations hereunder except those that expressly survive.

Section 4.9 Shortfall. If the Credits finally certified with respect to the Buildings are less than the Estimated Credits, the Purchase Price shall be reduced accordingly and Seller shall refund to Buyer any portion of the Deposit attributable to the shortfall; provided that Buyer shall have no obligation to purchase any Credits in excess of the Estimated Credits.

Section 4.10 Insurance. During the term of this Agreement, Calder Works Owner LLC shall maintain, at its sole cost, commercial general liability insurance with limits of not less than $1,000,000 per occurrence and $2,000,000 in the aggregate, builder's risk insurance on a completed value basis, and such other coverage as the Buyer may reasonably require. Each policy shall name the Buyer as an additional insured and shall provide for thirty days' prior written notice of cancellation.

Section 4.11 Recapture Indemnity. If any Credits transferred to Buyer are disallowed, reduced or recaptured as a result of any act or omission of Seller, Seller shall pay to Buyer, within thirty (30) days after demand, the amount of such Credits so disallowed, reduced or recaptured, together with any interest and penalties assessed against Buyer in connection therewith.

Section 4.12 Confidentiality. Each party shall hold in confidence all non-public information furnished by the other party in connection with this Agreement and shall not disclose such information to any person other than its attorneys, accountants, lenders, investors and advisors who have a need to know and are bound by obligations of confidentiality, except as required by law, regulation or the order of a court or governmental authority.

Article 5

Section 5.1 Deposit. Within ten (10) Business Days after the Effective Date, Buyer shall deposit with the Escrow Agent an amount equal to ten percent (10%) of the Purchase Price for the Estimated Credits, which Deposit shall be applied to the Purchase Price at the first Closing or returned to Buyer in the circumstances described in Section 5.2.

Section 5.2 Draw Requests. Each request for an advance shall be submitted on the Lender's standard form not later than the fifteenth day of the month, accompanied by an AIA G702/G703 application for payment certified by the Architect, lien waivers from the General Contractor and each subcontractor for the prior advance, an updated construction schedule and such other documents as the Lender may reasonably require.

Section 5.3 Seller Representations. Seller represents that the Buildings are certified historic structures, that the Rehabilitation has been and will be carried out in accordance with the Approved Part 2 Application and its conditions, and that Seller has not sold, assigned or pledged any portion of the Credits to any other person.

Section 5.4 Representations of Authority. Each party represents and warrants that it is duly organized, validly existing and in good standing under the laws of the jurisdiction of its formation; that it has full power and authority to enter into and perform this Agreement; that the execution, delivery and performance of this Agreement have been duly authorized by all necessary action; and that this Agreement constitutes its legal, valid and binding obligation, enforceable in accordance with its terms.

Section 5.5 Delivery Mechanics. Credits shall be transferred to Buyer in one or more Closings, each occurring within thirty (30) days after Seller's receipt of Final Certification from the Virginia Department of Historic Resources with respect to a Building, by Seller's execution and filing of the transfer forms required by the Virginia Department of Taxation together with such other instruments as Buyer may reasonably require.

Section 5.6 Compliance with Laws. Calder Works Owner LLC shall comply in all material respects with all laws, ordinances, rules, regulations and orders of governmental authorities applicable to the Property and its operation, including building codes, fire safety regulations, environmental laws, fair housing laws and the requirements of the Americans with Disabilities Act, and shall obtain and maintain all permits and licenses required in connection therewith.

Section 5.7 Shortfall. If the Credits finally certified with respect to the Buildings are less than the Estimated Credits, the Purchase Price shall be reduced accordingly and Seller shall refund to Buyer any portion of the Deposit attributable to the shortfall; provided that Buyer shall have no obligation to purchase any Credits in excess of the Estimated Credits.

Section 5.8 Amendments. No amendment, modification, supplement or waiver of any provision of this Agreement shall be effective unless set forth in a writing signed by each party against whom enforcement is sought. Any Exhibit may be replaced only by an amendment that expressly identifies the Exhibit being replaced; absent such identification, the Exhibit attached on the Effective Date shall continue to control.

Section 5.9 Recapture Indemnity. If any Credits transferred to Buyer are disallowed, reduced or recaptured as a result of any act or omission of Seller, Seller shall pay to Buyer, within thirty (30) days after demand, the amount of such Credits so disallowed, reduced or recaptured, together with any interest and penalties assessed against Buyer in connection therewith.

Section 5.10 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as the Buyer may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of Calder Works Owner LLC beyond those expressly stated herein.

Section 5.11 Deposit. Within ten (10) Business Days after the Effective Date, Buyer shall deposit with the Escrow Agent an amount equal to ten percent (10%) of the Purchase Price for the Estimated Credits, which Deposit shall be applied to the Purchase Price at the first Closing or returned to Buyer in the circumstances described in Section 5.2.

Section 5.12 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED HEREBY. THIS WAIVER IS A MATERIAL INDUCEMENT FOR EACH PARTY TO ENTER INTO THIS AGREEMENT.

Article 6

Section 6.1 Seller Representations. Seller represents that the Buildings are certified historic structures, that the Rehabilitation has been and will be carried out in accordance with the Approved Part 2 Application and its conditions, and that Seller has not sold, assigned or pledged any portion of the Credits to any other person.

Section 6.2 Assignment. Calder Works Owner LLC shall not assign, transfer or delegate any of its rights or obligations under this Agreement, whether voluntarily, by operation of law or otherwise, without the prior written consent of the Buyer, which may be withheld in its sole discretion. Any purported assignment in violation of this Section shall be null and void. Subject to the foregoing, this Agreement shall bind and benefit the parties and their respective successors and permitted assigns.

Section 6.3 Delivery Mechanics. Credits shall be transferred to Buyer in one or more Closings, each occurring within thirty (30) days after Seller's receipt of Final Certification from the Virginia Department of Historic Resources with respect to a Building, by Seller's execution and filing of the transfer forms required by the Virginia Department of Taxation together with such other instruments as Buyer may reasonably require.

Section 6.4 Environmental Matters. Calder Works Owner LLC shall not cause or permit any hazardous substance to be generated, stored, released or disposed of on or from the Property except in compliance with applicable environmental laws. Calder Works Owner LLC shall promptly notify the Buyer of any release, claim or notice of violation and shall undertake, at its cost, any remediation required by any governmental authority having jurisdiction.

Section 6.5 Shortfall. If the Credits finally certified with respect to the Buildings are less than the Estimated Credits, the Purchase Price shall be reduced accordingly and Seller shall refund to Buyer any portion of the Deposit attributable to the shortfall; provided that Buyer shall have no obligation to purchase any Credits in excess of the Estimated Credits.

Section 6.6 Interpretation. The headings in this Agreement are for convenience only and shall not affect its interpretation. Words in the singular include the plural and vice versa. The words 'include', 'includes' and 'including' are deemed followed by 'without limitation'. References to Sections, Exhibits and Schedules are to those of this Agreement unless otherwise stated. Defined terms used in an Exhibit have the meanings given in the body of this Agreement unless the Exhibit provides otherwise.

Section 6.7 Recapture Indemnity. If any Credits transferred to Buyer are disallowed, reduced or recaptured as a result of any act or omission of Seller, Seller shall pay to Buyer, within thirty (30) days after demand, the amount of such Credits so disallowed, reduced or recaptured, together with any interest and penalties assessed against Buyer in connection therewith.

Section 6.8 Representations Regarding the Property. Calder Works Owner LLC represents that, to its knowledge, there are no pending or threatened actions, suits or proceedings affecting the Property; that it has not received any notice of violation of any law affecting the Property that remains uncured; and that the plans and specifications for the rehabilitation have been prepared in accordance with the approved Part 2 application and all conditions thereto.

Section 6.9 Deposit. Within ten (10) Business Days after the Effective Date, Buyer shall deposit with the Escrow Agent an amount equal to ten percent (10%) of the Purchase Price for the Estimated Credits, which Deposit shall be applied to the Purchase Price at the first Closing or returned to Buyer in the circumstances described in Section 5.2.

Section 6.10 Accounting and Tax Matters. The fiscal year of the Company shall be the calendar year. The Company shall prepare and file all federal, state and local tax returns required to be filed by it and shall deliver to each Member, within seventy-five days after the end of each fiscal year, a Schedule K-1 and such other information as the Member may reasonably require to prepare its own returns.

Section 6.11 Seller Representations. Seller represents that the Buildings are certified historic structures, that the Rehabilitation has been and will be carried out in accordance with the Approved Part 2 Application and its conditions, and that Seller has not sold, assigned or pledged any portion of the Credits to any other person.

Section 6.12 Budgets and Operating Plans. Not later than sixty days before the start of each fiscal year, the Managing Member shall prepare and deliver to the Investor Member a proposed annual operating budget for the Property. Any budget that increases total operating expenses by more than ten percent over the prior year, or that provides for any capital expenditure in excess of $100,000, shall require the approval of the Investor Member.

Article 7

Section 7.1 Delivery Mechanics. Credits shall be transferred to Buyer in one or more Closings, each occurring within thirty (30) days after Seller's receipt of Final Certification from the Virginia Department of Historic Resources with respect to a Building, by Seller's execution and filing of the transfer forms required by the Virginia Department of Taxation together with such other instruments as Buyer may reasonably require.

Section 7.2 Counterparts. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Signatures delivered by facsimile, portable document format or other electronic means shall be deemed original signatures for all purposes, and the parties agree to accept such signatures as binding.

Section 7.3 Shortfall. If the Credits finally certified with respect to the Buildings are less than the Estimated Credits, the Purchase Price shall be reduced accordingly and Seller shall refund to Buyer any portion of the Deposit attributable to the shortfall; provided that Buyer shall have no obligation to purchase any Credits in excess of the Estimated Credits.

Section 7.4 Time of the Essence. Time is of the essence with respect to each provision of this Agreement in which a time for performance is specified. If the last day for the performance of any obligation falls on a day that is not a business day, the time for performance shall be extended to the next succeeding business day.

Section 7.5 Recapture Indemnity. If any Credits transferred to Buyer are disallowed, reduced or recaptured as a result of any act or omission of Seller, Seller shall pay to Buyer, within thirty (30) days after demand, the amount of such Credits so disallowed, reduced or recaptured, together with any interest and penalties assessed against Buyer in connection therewith.

Section 7.6 Tax Matters Partner. The Managing Member is designated as the partnership representative of the Company within the meaning of Section 6223 of the Code. The partnership representative shall not settle any audit, extend any statute of limitations or file any petition with respect to Company tax items without the prior written consent of the Investor Member, and shall keep the Investor Member informed of all material communications with taxing authorities.

Section 7.7 Deposit. Within ten (10) Business Days after the Effective Date, Buyer shall deposit with the Escrow Agent an amount equal to ten percent (10%) of the Purchase Price for the Estimated Credits, which Deposit shall be applied to the Purchase Price at the first Closing or returned to Buyer in the circumstances described in Section 5.2.

Section 7.8 Remedies Cumulative. Except as otherwise expressly provided, the rights and remedies of the parties under this Agreement are cumulative and not exclusive of any rights or remedies that they may otherwise have at law or in equity. The exercise of any one right or remedy shall not preclude the concurrent or subsequent exercise of any other right or remedy.

Section 7.9 Seller Representations. Seller represents that the Buildings are certified historic structures, that the Rehabilitation has been and will be carried out in accordance with the Approved Part 2 Application and its conditions, and that Seller has not sold, assigned or pledged any portion of the Credits to any other person.

Section 7.10 Removal of Managing Member. The Investor Member may remove the Managing Member upon the occurrence of any of the following: (i) fraud, gross negligence or willful misconduct; (ii) a material breach of this Agreement not cured within thirty days after notice; (iii) the bankruptcy of the Managing Member or any Guarantor; or (iv) any action or omission that results in a recapture or disallowance of the Credits.

Section 7.11 Delivery Mechanics. Credits shall be transferred to Buyer in one or more Closings, each occurring within thirty (30) days after Seller's receipt of Final Certification from the Virginia Department of Historic Resources with respect to a Building, by Seller's execution and filing of the transfer forms required by the Virginia Department of Taxation together with such other instruments as Buyer may reasonably require.

Section 7.12 Compensation of Manager. As full compensation for its services, the Manager shall receive a monthly management fee equal to four percent of gross collected revenues of the Property, payable in arrears on the tenth day of each month. No leasing commission, construction supervision fee or other compensation shall be payable to the Manager or its affiliates except as approved in writing by the Owner.

Article 8

Section 8.1 Shortfall. If the Credits finally certified with respect to the Buildings are less than the Estimated Credits, the Purchase Price shall be reduced accordingly and Seller shall refund to Buyer any portion of the Deposit attributable to the shortfall; provided that Buyer shall have no obligation to purchase any Credits in excess of the Estimated Credits.

Section 8.2 Reserves. The Company shall establish and maintain an operating reserve and a replacement reserve in the amounts required by the Lender and the Investor Member. Withdrawals from the operating reserve shall be made only to fund operating deficits, and withdrawals from the replacement reserve shall be made only for capital repairs and replacements approved in the annual budget or otherwise approved by the Investor Member.

Section 8.3 Recapture Indemnity. If any Credits transferred to Buyer are disallowed, reduced or recaptured as a result of any act or omission of Seller, Seller shall pay to Buyer, within thirty (30) days after demand, the amount of such Credits so disallowed, reduced or recaptured, together with any interest and penalties assessed against Buyer in connection therewith.

Section 8.4 Entire Agreement. This Agreement, together with the Exhibits and Schedules attached hereto, constitutes the entire agreement among the parties with respect to its subject matter and supersedes all prior and contemporaneous agreements, term sheets, letters of intent, presentations and understandings, whether written or oral. No statement in any offering material, investor presentation or summary shall modify the terms hereof unless expressly incorporated by written amendment.

Section 8.5 Deposit. Within ten (10) Business Days after the Effective Date, Buyer shall deposit with the Escrow Agent an amount equal to ten percent (10%) of the Purchase Price for the Estimated Credits, which Deposit shall be applied to the Purchase Price at the first Closing or returned to Buyer in the circumstances described in Section 5.2.

Section 8.6 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Section 8.7 Seller Representations. Seller represents that the Buildings are certified historic structures, that the Rehabilitation has been and will be carried out in accordance with the Approved Part 2 Application and its conditions, and that Seller has not sold, assigned or pledged any portion of the Credits to any other person.

Section 8.8 Retainage. The Lender shall retain ten percent of each advance for hard costs until the Project is fifty percent complete, as certified by the Lender's inspecting engineer, and five percent thereafter. Retainage shall be released upon substantial completion of the applicable Building, receipt of a certificate of occupancy and final lien waivers, and satisfaction of all punch list items.

Section 8.9 Delivery Mechanics. Credits shall be transferred to Buyer in one or more Closings, each occurring within thirty (30) days after Seller's receipt of Final Certification from the Virginia Department of Historic Resources with respect to a Building, by Seller's execution and filing of the transfer forms required by the Virginia Department of Taxation together with such other instruments as Buyer may reasonably require.

Section 8.10 Force Majeure. Neither party shall be liable for any delay or failure in performance (other than the payment of money) caused by events beyond its reasonable control, including acts of God, fire, flood, epidemic, war, terrorism, labor disputes not involving the affected party's employees, governmental action or unavailability of materials, provided that the affected party gives prompt notice and uses commercially reasonable efforts to resume performance.

Section 8.11 Shortfall. If the Credits finally certified with respect to the Buildings are less than the Estimated Credits, the Purchase Price shall be reduced accordingly and Seller shall refund to Buyer any portion of the Deposit attributable to the shortfall; provided that Buyer shall have no obligation to purchase any Credits in excess of the Estimated Credits.

Section 8.12 Severability. If any term or provision of this Agreement, or the application thereof to any person or circumstance, shall to any extent be held invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforced to the fullest extent permitted by law.

Appendix 2 - Eligible Rehabilitation Expenses

Building A	$18,900,000
Building B	$17,550,000
Building C	$2,750,000
Site and parking	$600,000
Total	**$39,800,000**

Per Seller's schedule dated February 2024.

Article 9

Section 9.1 Recapture Indemnity. If any Credits transferred to Buyer are disallowed, reduced or recaptured as a result of any act or omission of Seller, Seller shall pay to Buyer, within thirty (30) days after demand, the amount of such Credits so disallowed, reduced or recaptured, together with any interest and penalties assessed against Buyer in connection therewith.

Section 9.2 Indemnification. Calder Works Owner LLC shall indemnify, defend and hold harmless the Buyer and its members, managers, officers, employees and agents from and against any and all losses, liabilities, damages, costs and expenses, including reasonable attorneys' fees, arising out of (a) any breach of any representation, warranty or covenant of Calder Works Owner LLC contained herein, (b) the gross negligence or willful misconduct of Calder Works Owner LLC, or (c) any claim by a third party relating to the condition of the Property prior to the Effective Date.

Section 9.3 Deposit. Within ten (10) Business Days after the Effective Date, Buyer shall deposit with the Escrow Agent an amount equal to ten percent (10%) of the Purchase Price for the Estimated Credits, which Deposit shall be applied to the Purchase Price at the first Closing or returned to Buyer in the circumstances described in Section 5.2.

Section 9.4 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be reviewed by the Owner's historic consultant and, where required by the conditions of the Part 2 approval, submitted to the State Historic Preservation Office for review by the National Park Service.

Section 9.5 Seller Representations. Seller represents that the Buildings are certified historic structures, that the Rehabilitation has been and will be carried out in accordance with the Approved Part 2 Application and its conditions, and that Seller has not sold, assigned or pledged any portion of the Credits to any other person.

Section 9.6 Warranty of Work. The Contractor warrants that all materials and equipment furnished under this Agreement will be new unless otherwise specified, of good quality and free from defects, and that the Work will conform to the Contract Documents. The Contractor shall correct any Work found to be defective within one year after substantial completion of the applicable Building.

Section 9.7 Delivery Mechanics. Credits shall be transferred to Buyer in one or more Closings, each occurring within thirty (30) days after Seller's receipt of Final Certification from the Virginia Department of Historic Resources with respect to a Building, by Seller's execution and filing of the transfer forms required by the Virginia Department of Taxation together with such other instruments as Buyer may reasonably require.

Section 9.8 Books and Records. Calder Works Owner LLC shall keep complete and accurate books of account and records with respect to the Property and the transactions contemplated hereby, in accordance with generally accepted accounting principles consistently applied, and shall make such books and records available to the Buyer and its representatives for inspection and copying at reasonable times upon not less than five business days' prior notice.